Eighth District Firms Expect Steady Inflation in Upcoming Months

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KEY TAKEAWAYS

- In an August poll, businesses in the St. Louis Fed's region reported steady inflationary pressures, with the average price charged to customers rising about 3% over the past year. These firms expect similar increases in the coming year.
- Companies are also experiencing ongoing cost pressures, especially from suppliers who change prices more often or add temporary fees.
- Despite rising costs, many businesses reported maintaining strong sales, mainly because of stable demand and higher sales volumes. This has allowed businesses to maintain or grow sales despite persistent cost pressures.

The Federal Reserve Bank of St. Louis conducts a quarterly survey of businesses across the Fed's Eighth District[1] to gain a deeper understanding of prevailing economic conditions. Survey results are regularly reported in the Economic Research section of our website.

The August survey included a series of special questions pertaining to firms' pricing changes and expectations. Respondents were asked about past and future price changes, supplier pricing behavior and factors driving sales growth. This blog post takes a closer look at those findings.

Cost Pressures Remain with Some Pass-Through to Customers

Survey results indicate that price pressures remained robust and were widespread, with almost half of survey respondents indicating their nonlabor costs were higher than a year ago. Businesses reported passing these higher costs on to customers whenever possible, with a third of respondents saying they had been able to pass on those costs.

In a special question, firms were asked to provide an estimate of the growth rate of the average prices they charged customers in the previous 12 months and the average prices they planned to charge in the upcoming 12 months.

Survey respondents indicated that average and median prices charged to customers increased 3% over the past 12 months, and firms expected the same pace over the next year. February survey respondents also expected price growth of 3% going forward. Taken together, the surveys' results indicate inflation is holding steady, and District firms are not expecting price growth to decelerate over the next 12 months.

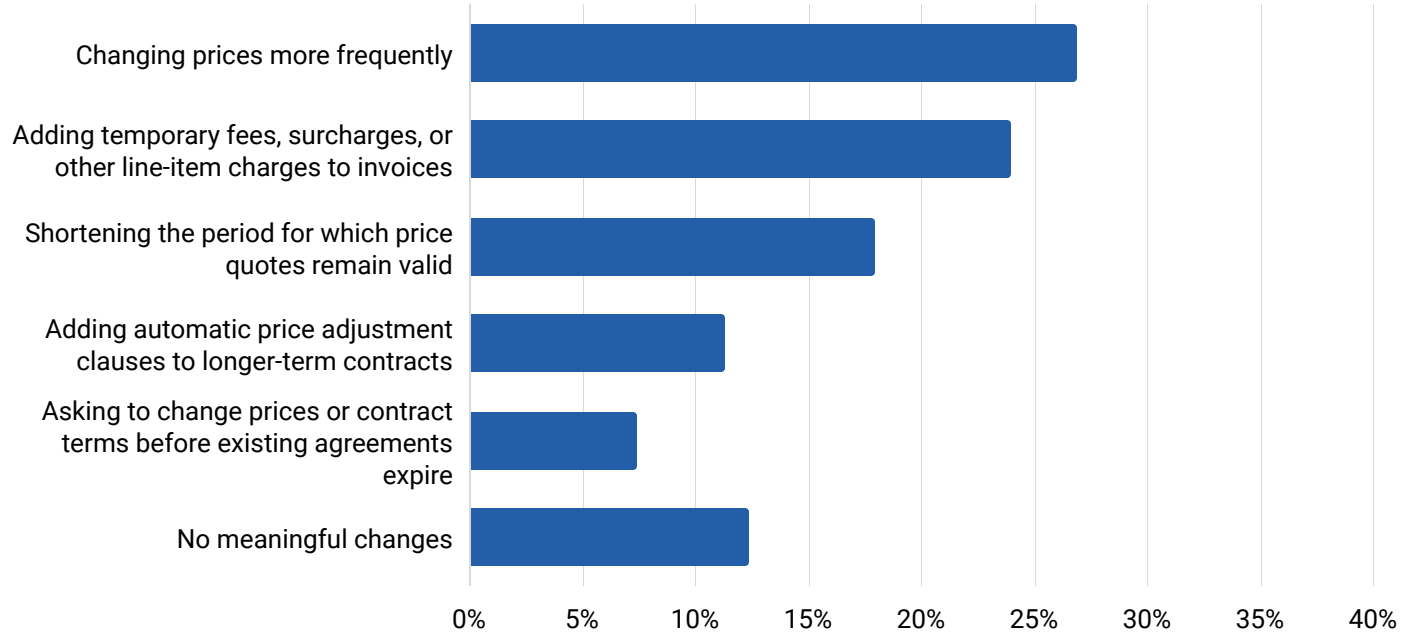
How Supplier Pricing Practices Add Pressure

To find out whether price pressures are seen as temporary or permanent by District firms, the August survey had a follow-up special question related to recent changes in supplier pricing practices.

As the first figure below shows, 27% of respondents said they observed suppliers changing prices more frequently, consistent with research on price adjustments during periods of higher inflation. Additionally, 24% of firms indicated that suppliers were adding temporary fees or surcharges, and 18% reported that suppliers were shortening the amount of time price quotes remained valid. Responses to this special survey question help explain why businesses continue to feel squeezed, and they also show that firms expect these price pressures to be short-lived: Only 11% of respondents indicated that suppliers were adding automatic price-adjustment clauses.

Which of the following changes in supplier pricing practices has your business experienced in the past 3-6 months, or does it expect to experience in the next 3-6 months?

Share of Total Responses



SOURCE: Federal Reserve Bank of St. Louis.
NOTE: Question had a total of 104 respondents, who could select multiple answers.

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These behaviors contribute to elevated inflation by keeping input costs higher and less predictable. For example, a technology services contact reported that data-storage vendors shifted from flat-rate pricing to usage-based charges, sharply increasing monthly costs. Also, a construction firm reported that suppliers were offering shorter price-guarantee windows, requiring contractors to order materials earlier or assume additional bidding risk.

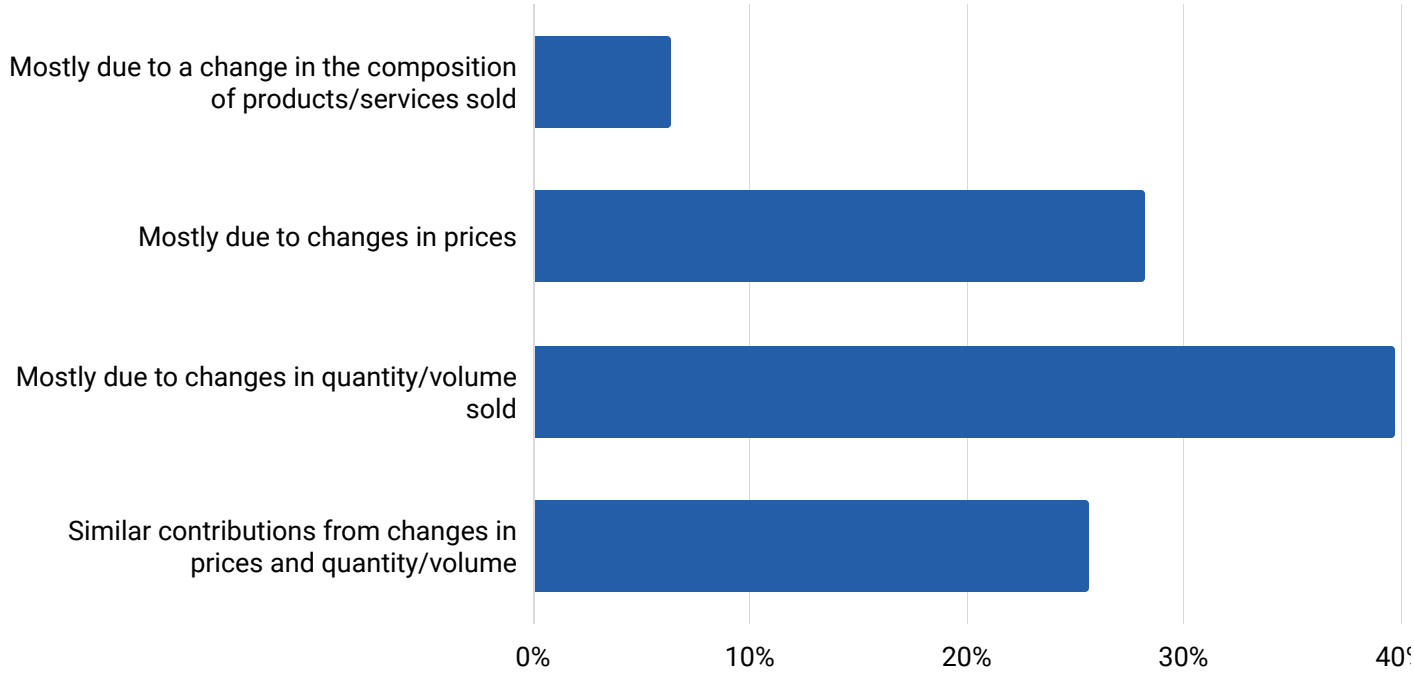
Sales Growth Is Mostly about Volume

Even in this above-target inflation environment, firms reported solid sales performance. According to the latest survey, 64% of contacts reported that dollar sales had met expectations, matching the highest level since February 2020.

In a special question, the survey asked firms about the source of their sales growth. The figure below shows that sales growth was primarily driven by volume, with 40% of respondents choosing that response. Higher prices played a secondary role, with almost 30% of respondents selecting this option.

What is the main driver of changes in your sales revenue compared with one year ago?

Share of Total Responses



SOURCE: Federal Reserve Bank of St. Louis.
NOTE: Question had a total of 78 respondents after excluding responses that were "other" or "not sure/does not apply."

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Those responses indicate that many businesses are seeing stable demand, allowing them to maintain or grow sales despite persistent cost pressures.

What the Results Tell Us

The story that emerges from these survey results indicates the region's businesses are operating in a landscape in which costs are rising at a steady pace and that input fluctuations are related to uncertainty due to tariff changes and to the conflict in the Middle East. Nevertheless, in many cases they are able to sustain sales volumes and expect to pass along their costs to customers, suggesting survey respondents do not expect inflation to decelerate in the near future.

Note

1. Headquartered in St. Louis, the Eighth Federal Reserve District covers all of Arkansas, most of Missouri, and parts of Illinois, Indiana, Kentucky, Mississippi and Tennessee.

ABOUT THE AUTHORS



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